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Honorable Frederick P. Corbit

UNITED STATES BANKRUPTCY COURT
EASTERN DISTRICT OF WASHINGTON

In re: 1 MIN, LLC; HOTEL AT SOUTHPORT, LLC; and TWELFTH FLOOR, LLC, Debtors. LAN CAI, et al., Plaintiffs, v. HOTEL AT SOUTHPORT, LLC, TWELFTH FLOOR, LLC, 1 MIN, LLC., Defendants, and WF CREL 2020 GRANTOR TRUST, Intervenor-Defendant.	Chapter 11 Lead Case No. 24-01519 (Jointly Administered) Adv. Proc. No. 25-80007-FPC **AP DEFENDANTS' MEMORANDUM OF LAW IN SUPPORT OF THEIR MOTION TO DISMISS THE COMPLAINT**

Defendants 1 Min, LLC (the "EB-5 Debtor"), Hotel at Southport, LLC (the "Hotel Debtor"), Twelfth Floor, LLC (the "Mezz Debtor" and, together with the EB-5 Debtor and the Hotel Debtor, the "Debtor-Defendants"), by and through their undersigned counsel, Bush Kornfield LLP, and WF CREL 2020 Grantor Trust ("WF Trust" or the "Mezz Lender" and, together with the Debtor-Defendants, the "AP Defendants"), by and through its undersigned counsel, Eisenhower Carlson PLLC and Mayer Brown LLP, respectfully submit this memorandum of law in support of their Joint Motion to Dismiss the Complaint,[1] with prejudice, pursuant to Federal Rule of Civil Procedure 12(b), incorporated herein by Federal Rule of Bankruptcy Procedure 7012, and respectfully state as follows:

PRELIMINARY STATEMENT

1. The present dispute constitutes a straightforward case of buyer's remorse, even though the "buyers" (or more precisely, investors) received exactly what they bargained for, and are now seeking to recoup any losses from entirely innocent third parties unaffiliated with their investment.

2. Specifically, Plaintiffs, a group of 70 foreign nationals, purchased partnership units in Southport Hotel EB-5 LP, a limited liability partnership (the "EB-5 Lender") as a means of facilitating their immigration into the United States through the specialized "EB-5 Program," under which foreign investors receive a

[1] A copy of the Complaint is attached to the accompanying Declaration of Jason I. Kirschner in Support of AP Defendants' Motion to Dismiss the Complaint (the "Kirschner Declaration") as Exhibit 1.

pathway to permanent residence in exchange for investing $500,000 or more in a qualified project in the United States. In connection with an offering that concluded in 2016 (the "Offering"), Plaintiffs invested approximately $38.5 million into the EB-5 Lender and in turn became limited partners in the partnership. The transaction proved mutually beneficial: the EB-5 Lender raised enough money to lend funds to the EB-5 Debtor for the development and construction of the Hyatt Regency Lake Washington (the "Hotel") while Plaintiffs satisfied the requirements for the EB-5 Program.

3. Plaintiffs admit that, in connection with the Offering, they received and reviewed certain "Offering Documents"—namely, a Private Placement Memorandum ("PPM") and its exhibits, including a Subscription Agreement, Limited Partnership Agreement, and Loan Agreement[2]—which expressly disclosed (on countless occasions, often in bold or capitalized font) (i) the structure and organization of the limited partnership and (ii) the inherently risky and speculative nature of the investment, including the risks that the EB-5 Lender's loan to the EB-5 Debtor (the "EB-5 Loan") would be subordinated to other indebtedness and that there could be a total loss of Plaintiffs' investment. Plaintiffs expressly assumed these risks at the time of the Offering.

4. Nevertheless, after the forewarned risks (such as higher than projected construction costs and the need to incur additional indebtedness) materialized,

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[2] A copy of these Offering Documents (i.e., the PPM, as amended, and its exhibits) is attached to the Kirschner Declaration as Exhibit 2.

rather than accept any losses in connection with a speculative investment, Plaintiffs decided instead to file specious tort and other claims against not only Michael Christ, the developer of the project, but also entirely innocent third parties such as the Debtor-Defendants—entities that have no affiliation with the partnership or its Offering—based on an abusive interpretation of the alter-ego doctrine. Specifically, in the State Court Action (defined below), Plaintiffs asserted an amorphous fraud claim and six other causes of action premised on the sweeping allegation that all seven Defendants "misrepresented that the EB-5 Loan would be secured by a Deed of Trust" and that "the EB-5 Loan would only be subordinated to a senior loan of no more than $19 million" (Third Amended Complaint ¶ 85 [Docket No. 156-2]). The Complaint in this adversary proceeding is a modified version of the Third Amended Complaint in the State Court Action in which the sole defendants are the Debtor-Defendants, but it is based on the same generalized and implausible allegations. (See, e.g., Compl. ¶ 86).

5. Plaintiffs' baseless claims have already damaged the AP Defendants by preventing a consensual sale of the Hotel outside of bankruptcy—a sale that would have resulted in a substantial distribution to Plaintiffs. Although the Debtor-Defendants were ultimately able to sell the Hotel pursuant to this Chapter 11 proceeding, Plaintiffs' claims are still preventing the release of escrowed sale proceeds to the Mezz Lender, an innocent secured creditor that purchased the Mezz Loan years after Plaintiffs' investment and is not alleged to have engaged in any misconduct.

6. As detailed herein, since the Complaint is facially defective on multiple grounds, Plaintiffs should not be permitted to hold the sale proceeds hostage for any longer.

7. First, Plaintiffs' bedrock alter-ego claim—which seeks to hold the Debtor-Defendants liable for Mr. Christ's alleged conduct via so-called "reverse veil-piercing"—fails to state a claim because Plaintiffs do not adequately and plausibly plead the requisite elements of alter ego under Washington Law: namely, that (i) each individual Debtor-Defendant was used intentionally to evade a duty and (ii) disregarding the corporate entity of each individual Debtor-Defendant is necessary to prevent an unjust loss. Instead, Plaintiffs solely offer the conclusory allegation that "[e]ach of the Defendants, Michael Christ, and the General Partner, are alter egos of each other" (Compl. ¶ 77) followed by a formulaic recitation of certain unsupported and boilerplate elements (Compl. ¶¶ 78-83).

8. In addition to being inadequately plead, Plaintiffs' alter-ego claim is flatly implausible given that two of the three Debtor-Defendants (the Mezz Debtor and the Hotel Debtor) were not even formed until after the conclusion of the Offering, when the need for supplemental funds became apparent and the Mezz Debtor entered into a supplemental loan agreement for $40 million, which was eventually assigned to WF Trust three years later. The remaining Debtor-Defendant, the EB-5 Debtor, is simply the successor Borrower under that certain Loan Agreement with the EB-5 Lender and, like the other Debtor-Defendants, is not affiliated with the partnership in any way. Yet Plaintiffs appear to believe that, without first prevailing on any claims against Mr. Christ or the partnership (or even

adequately alleging such claims), they can hold the Debtor-Defendants liable for his imagined sins.

9. Notably, even if Plaintiffs' alter-ego claim had been adequately plead, it would still fail as a matter of law since Ninth Circuit precedent bars the application of the alter-ego doctrine to prejudice the rights of innocent third parties, such as creditors. Here, Plaintiffs are attempting to abuse the doctrine of reverse veil piercing to shred the principles of corporate separateness and thereby prioritize their claims above those of the Mezz Lender, an innocent secured creditor that is not accused of any misconduct.

10. Second, the Complaint should also be dismissed because Plaintiffs fail to state claims for fraud, which are fundamental to their other causes of action. Indeed, Plaintiffs do not even attempt to satisfy the heightened pleading standard for their fraud and securities fraud claims; instead, they nearly exclusively refer to all three Debtor-Defendants collectively (just as Plaintiffs did with respect to the seven defendants in the State Court Action), and they also improperly and repeatedly lump together the purported conduct of the Debtor-Defendants, Michael Christ, and the General Partner (defined below). In addition to being riddled with impermissible group pleading, the Complaint describes the alleged fraud in extraordinarily vague terms, failing to quote or even cite any specific statement in the Offering Documents that was purportedly fraudulent, let alone identifying "the who, what, when, where, and how" that would suggest fraud. The Complaint's commingling of the Defendants' conduct and lack of specificity renders it unclear

as to the nature of the purported fraud and each Defendant's alleged role, despite being Plaintiffs' fifth attempt at fashioning a pleading.

11. Third, Plaintiffs' remaining duplicative claims—which amount to an "everything but the kitchen sink" and "speak now, prove later" approach—similarly fail because they are dependent on the deficient fraud claims, lack any individualized factual allegations against any Debtor-Defendants, and fail to state a plausible claim against the Debtor-Defendants.

12. Finally, the central factual allegation underlying all of Plaintiffs' claims—namely, that Defendants purportedly misrepresented that the EB-5 Loan would only be subordinated to a senior loan of no more than $19 million (Compl. ¶ 86)—is flatly contradicted by the Offering Documents, which Plaintiffs admit they reviewed (Compl. ¶¶ 33, 35). Specifically, the PPM expressly disclosed that "Borrower will have the right to incur additional indebtedness that will not be subordinated to the Loan and to which the Loan may be subordinated" (PPM at p. 14) and the First Amendment to the PPM disclosed that "This Deed of Trust [securing the EB-5 Loan] may be subordinated to a senior construction loan" (Id. at p. 2). Plaintiffs flatly ignore these unambiguous disclosures and fail to identify any specific communication, whether written or oral, in which any Defendant (or even Mr. Christ or the General Partner) claimed that the subordination would be capped at $19 million.

13. In short, while Plaintiffs are free to pursue their claims against Mr. Christ in the State Court Action, they have no legal basis to harm the Debtor-Defendants and innocent creditors like the Mezz Lender by treating equitable

principles and corporate formalities as if they were meaningless, particularly based on a pleading that lacks any pretense of plausibility or particularity. Furthermore, since the Complaint represents Plaintiffs' fifth attempt at pleading viable claims and they cannot remedy the fatal defects in their foundational fraud and alter-ego claims or "plead around" the aforementioned disclosures in the Offering Documents, the Complaint should be dismissed with prejudice.

FACTUAL BACKGROUND

A. The Hotel and Ownership Structure

14. Until the sale to Ohana pursuant to the Plan (defined below), the Hotel Debtor, a Delaware limited liability company, was the holder of real property and improvements comprising the Hotel, which is located at 1053 Lake Washington Boulevard North, Renton, WA, on the shores of Lake Washington. Opened in 2017, the 12-story Hotel comprises approximately 335,000 square feet and features 347 rooms, an indoor pool, a 4,000-square-foot gym facility, and 60,000 square feet of indoor and outdoor meeting space and banquet facilities. (Compl. ¶ 5).

15. The Hotel Debtor is wholly owned by the Mezz Debtor, a Delaware limited liability company. (Compl. ¶ 12). The Mezz Debtor is the borrower of that certain Mezz Loan (as defined below). (Compl. ¶ 13); (Disclosure Statement at p. 2).[3]

[3] A copy of the Disclosure Statement is attached to the Kirschner Declaration as Exhibit 3.

16. Lastly, the Mezz Debtor is wholly owned by the EB-5 Debtor, a Washington limited liability company. The EB-5 Debtor is the current borrower under the EB-5 Loan.

B. Plaintiffs Invest in the EB-5 Lender Pursuant to Offering Documents that Disclose that the EB-5 Loan Will Be Subordinated

17. The EB-5 Lender is a Washington limited partnership that was formed in 2013 to act as the regional center for raising funds for the Hotel. Id. The general partner of the EB-5 Lender is Seattle Family, LP, a Washington Limited Partnership (the "General Partner"). See Southport Hotel EB-5, LP Partnership Agreement.[4]

18. Specifically, the EB-5 Lender raised money through the EB-5 Immigrant Investor Program (the "EB-5 Program"), which offers foreign investors a potential pathway to permanent residence in the United States in return for investing in certain domestic enterprises. (Compl. ¶ 2). The program permits qualified foreign investors to obtain immigration visas and to apply for green cards if they invest above a minimum amount. (Id. at ¶ 25). It is standard practice of the EB-5 Program for domestic entities to form new partnerships or commercial enterprises and have these foreign investors subscribe to become limited partners and make the requirement investments to qualify for permanent residency. (Id. at ¶ 28).

[4] A copy of the Southport Hotel EB-5, LP Partnership Agreement is attached as Exhibit B to Exhibit 2 of the Kirschner Declaration.

19. Plaintiffs are 70 foreign investors that, pursuant to the Offering, purchased limited partnership units in the EB-5 Lender through a private placement offering and made the minimum investment required under the EB-5 Program of $500,000. (Compl. ¶ 35).

20. As part of the Offering, the EB-5 Lender prepared a set of offering documents that consisted of the PPM and its exhibits, including (i) a Subscription Agreement (the "Subscription Agreement"), (ii) the Southport Hotel Eb-5, LP Limited Partnership Agreement (the "Partnership Agreement"), (iii) the Southport Hotel Eb-5, LP Business Plan (the "Business Plan"), and (iv) a Construction Loan Agreement (as further amended from time to time, "Loan Agreement" and, together with the PPM, Subscription Agreement, Partnership Agreement, and Business Plan, the "Offering Documents"). (Compl. ¶ 33; Kirschner Declaration Exhibit 2).

21. The Loan Agreement for the EB-5 Loan was entered into in October 2013, between the EB-5 Lender, as the lender, and Hotel at Southport, LLC, a Washington Limited Liability Company (the "Prior Owner")—which at the time was the owner of the real property underlying the Hotel—as borrower. See Loan Agreement.[5] The Prior Owner was to use the EB-5 Loan to finance the construction of the Hotel. Id. At the time, the EB-5 Loan was secured by a deed of trust encumbering the Hotel then under construction (the "EB-5 Deed of Trust").

[5] A copy of the Loan Agreement is attached as Exhibit E to Exhibit 2 of the Kirschner Declaration.

22. The Offering Documents clearly delineated the structure of the EB-5 Lender. In particular, the Business Plan provided several charts that showed the ownership structure of the EB-5 Lender and affiliated entities, along with clarifying footnotes. (Business Plan pp. 11, 14).[6]

23. Additionally, Plaintiffs were warned extensively about the inherently risky nature of the investment at several points throughout the Private Placement Memorandum. For example, the PPM warned that (i) "An investment in Units involves substantial risks including… An investor could lose all or substantial portion of his or her investment in the Partnership," (PPM at p. 2), (ii) "The Units involve a high degree of risk and substantial restrictions on transferability. You should not invest in the Units unless you can bear the complete loss of your investment," and (iii) "THE PURCHASE OF UNITS INVOLVES A HIGH DEGREE OF RISK AND IS SUITABLE ONLY FOR PERSONS OF SUBSTANTIAL MEANS WHO CAN BEAR THE RISK OF LOSS OF THEIR ENTIRE INVESTMENT AND WHO HAVE NO NEED FOR LIQUIDITY IN THEIR INVESTMENT." (Id. at p. 3). The Private Placement Memorandum additionally noted that, "[U]nforeseen issues may be encountered that otherwise will require an increase in the development of the budget that have not otherwise been reserved for in the contingency fund." (Id. at p. 36).

[6] A copy of the Business Plan is attached as Exhibit C to Exhibit 2 of the Kirschner Declaration.

24. In particular, the Offering Documents expressly disclosed that the General Partner had full authority to incur additional, superior debt, and that the EB-5 Loan could, at any time, be subordinated without limit: (i) the second page of the First Amendment to the PPM (which Plaintiffs admit receiving (Compl. ¶ 41) expressly stated that the EB-5 Loan was "secured by a [EB-5] Deed of Trust" and that "This [EB-5] Deed of Trust may be subordinated to a senior construction loan." (PPM at p. 2) and (ii) the PPM further noted that "Borrower will have the right to incur additional indebtedness that will not be subordinated to the [EB-5 Loan] and to which the [EB-5 Loan] may be subordinated." (Id. at p. 14).

25. The Loan Agreement was also amended before the conclusion of the Offering,[7] and such amendments further emphasize the risk of subordination: "[The EB-5 Lender] acknowledges that [Prior Owner] may obtain a senior construction loan to help finance construction of the Project . . . . In case [Prior Owner] enters into any loan described in the preceding sentences (each a "Senior Loan"), [the EB-5] Lender agrees to subordinate this [EB-5] Loan to the lien of any such Senior Loan pursuant to an intercreditor or subordination agreement between [EB-5] Lender and Senior Lender that is approved by [EB-5] Lender in its reasonable discretion . . . . This intercreditor or subordination agreement shall subordinate the lien of the [EB-5] Deed of Trust [securing the EB-5 Loan] to the lien of the deed of

[7] As noted previously, Plaintiffs concede that they received the First Amendment to the PPM, which references and attaches the amended Loan Agreement. (See Complaint ¶ 41; PPM at p. 2).

trust securing the Senior Loan (the "Senior Deed of Trust")[.]". (Loan Agreement § 4.7).

26. Nonetheless, each Plaintiff, "[r]elying on the representations in the Offering Documents," signed the Subscription Agreement and the Partnership Agreement. (Compl. ¶ 41). The Offering concluded in 2016, having raised $99,500,000 from 199 foreign nationals. (Id. at ¶ 43).

[Excerpt. Paragraphs 27 through 101 and the Applicable Standards and Argument sections are not transcribed in this sample.]

CONCLUSION

For the reasons set forth above, the AP Defendants respectfully request that the Court dismiss the Complaint with prejudice, and grant such further relief as the Court deems just and proper.

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